Accounts Receivable & Cash Flow Analysis

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Molonglo Business Guild · Q3 FY26 (Jan-Mar 2026)

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$2.02M	**61.5%**	**80%**	**128**
Outstanding Receivables	Collection Rate	Sponsorship Share	Members Over Limit

Is the Guild facing a collection problem - or a timing and credit-policy issue?

Situation

Molonglo Business Guild invoiced $5.25M in Q3 FY26, with $2.02M still outstanding at quarter-end

Complication

The 61.5% collection rate may look weak, but not all unpaid invoices are necessarily overdue. At the same time, sponsorship invoices and credit-limit exposure may be creating hidden concentration risk

Question

Is the outstanding amount driven by poor collection performance, or by invoice timing, sponsorship concentration, and credit-limit design?

The Guild's cash position is **fundamentally sound** - collection discipline is improving and the real risks are structural

The 61.5% collection rate understates health: 53% of the $2.02M owed is not yet due. Only 17.9% of invoices are genuinely overdue. On-time collection improved from 40% to 64% through the quarter, showing strengthening discipline. The real risks sit in sponsorship concentration (80% of outstanding receivables) and over-limit exposure (34% of members, $1.23M) - driven by limits undersized for sponsorship invoices, not bad payers. Outstanding GST of $183,672 represents tax reported but not yet collected in cash.

- Receivables are healthy - aging is 53% current, and on-time collection improved from 40% to 64%
- Sponsorship drives 80% of outstanding receivables - revenue-stream dependency, not debtor risk
- ✓ Forecast: 80% clears by mid-April, 98% by end April; even under stress, no multi-month crisis

Four lenses across **four dashboard pages** - from baseline to forecast

01

Overview & Concentration

Combine summary statistics, segment-level breakdowns and 80/20 analysis to show where outstanding cash is concentrated

02

Collections & Trend

Assess collection performance using maturity-adjusted issue-month rates, on-time trends, segment payment speed, and payment-method mix.

03

Risk & Diagnosis

Assess overdue risk, credit-limit pressure, and root causes using a Confirm → Isolate → Explain diagnostic approach, supported by forecast scenarios.

$2.02M owed, but **53% is not yet due** - the book is younger than it looks

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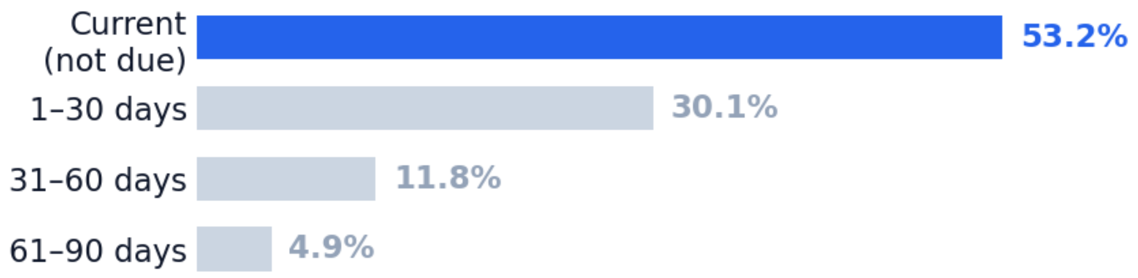
The Guild invoiced $5.25M in Q3 and collected $3.23M, representing a 61.5% collection rate. Of the remaining $2.02M outstanding receivables, $1.07M is still current and $945K is overdue, meaning only 17.9% of invoices are genuinely past due. The gap between the median invoice value ($1,430) and average invoice value ($2,082) indicates a right-skewed book, where a small number of larger invoices drive concentration rather than broad non-payment.

Outstanding Receivables: Current vs Overdue



Sponsorship represents **80% of outstanding receivables**, making revenue-stream dependency the main concentration risk

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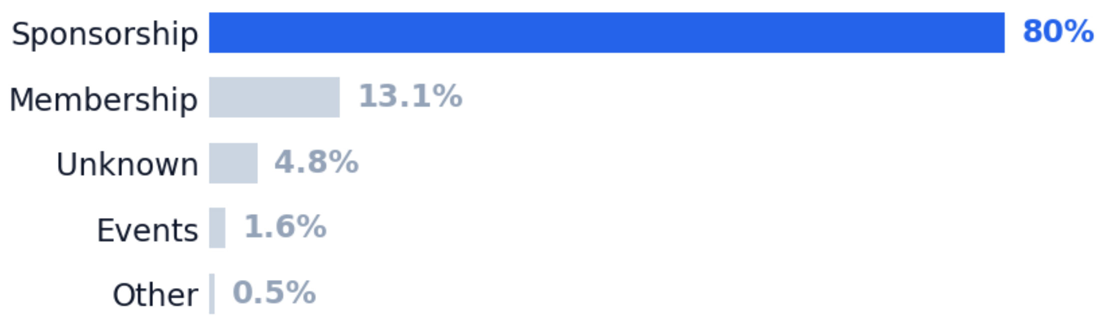
Sponsorship accounts for $1.62M of the $2.02M owed - with Major Sponsorship alone at 43% (above the 25% survival-risk threshold). Yet customer concentration is low: the top debtor holds only 1.7%, and it takes 170 members (45%) to reach 80% of the book. The risk is structural (one revenue stream), not relational (one big client).

Outstanding Receivables by Revenue Group



March's 26.5% collection rate is a **maturity artifact**, not a collapse

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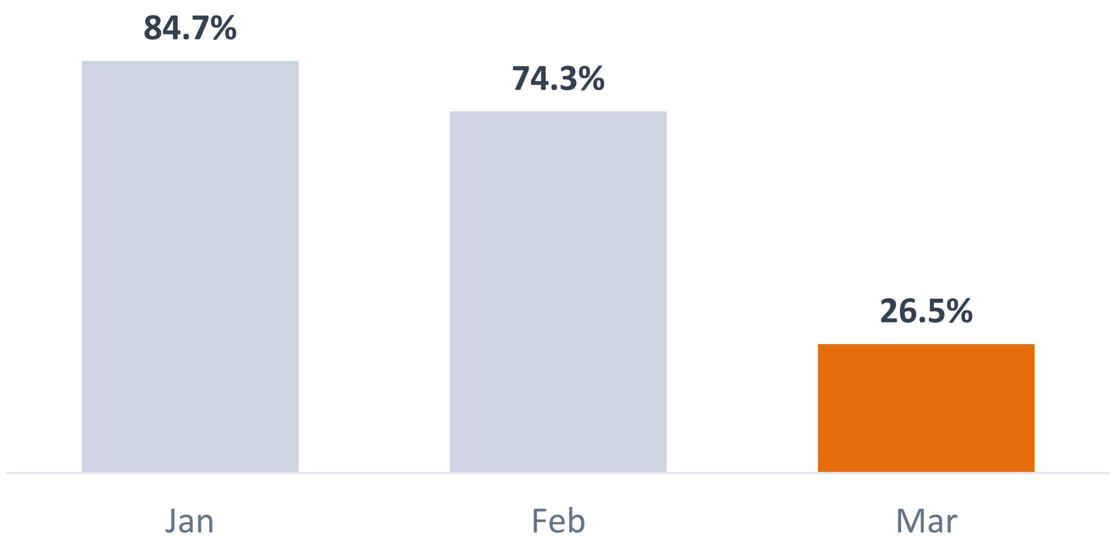
Collection rate by issue month drops from Jan 84.7% to Mar 26.5% - but this measures how much of each month's billing has been paid by the snapshot. March invoices were still within their 14–30 day terms and couldn't have been collected yet. This is a timing artifact, not a performance decline.

Collection Rate by Issue Month



On-time collection **improved from 40% to 64%** - discipline is strengthening

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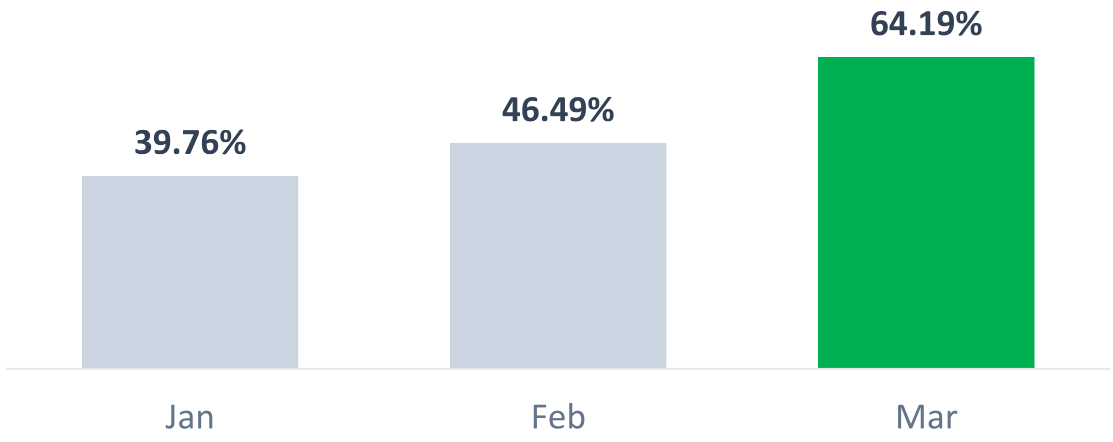
Unlike the issue-month rate (a maturity artifact), on-time collection measures punctuality of *actually paid* invoices - unaffected by maturity. It rose from 39.76% in January to 64.19% in March. Collection discipline strengthened through the quarter. Standard-tier members remain the latest payers relative to terms (4.7 days late on 14-day terms), but the overall trajectory is positive.

On-Time Collection by Month



Over-limit exposure is a **limit-setting gap**, not a collection failure

CONFIRM: 128 of 382 members (34%) exceed their credit limit, tying up \$1.23M - 61% of all outstanding receivables. Max utilisation reaches 926%. Overdue is spread proportionally across all tiers - not localised to one segment.

ISOLATE: The over-limit problem hits Associate and Standard tiers hardest - a single \$7,725 sponsorship invoice exceeds an Associate limit (\$2K, ×3.9) and a Standard limit (\$5K, ×1.5). Premium and Corporate limits absorb it. Corporate has zero over-limit members.

EXPLAIN: This is invoice-size vs limit mismatch. Two unpaid sponsorship invoices push any Standard or Associate member over their limit regardless of payment behaviour. The fix is policy (re-size limits), not chase-harder.

The 34% over-limit rate is a limit-setting artifact: credit limits were set by tier without accounting for sponsorship-scale invoices (\$4,235–\$7,725). Re-sizing limits to match typical invoice values eliminates most of the apparent credit-risk exposure.

80% of the book clears by **mid-April** - even under stress, no multi-month crisis

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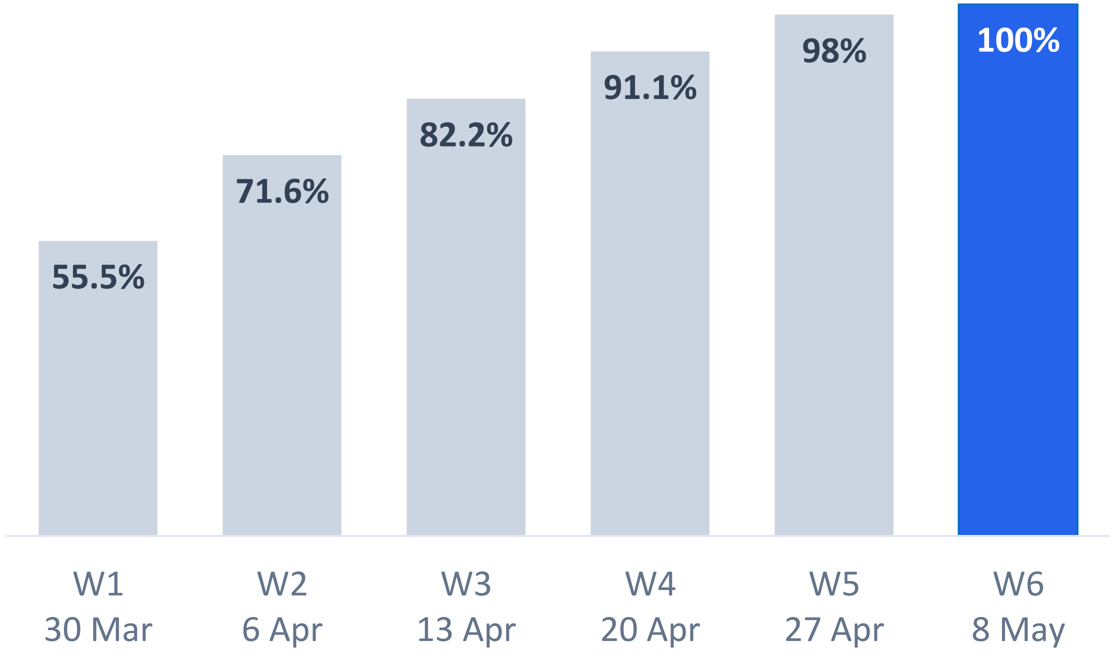
Base case: 80% by 13 April, 98% by 27 April
Conservative (+7d): 80% by 20 April, 98% by 4 May
Stress (sponsorship +14d): 80% by 27 April, 98% by 11 May. The stress case traps $304K of additional working capital vs base - the tangible cost of sponsorship concentration. Of the forecast, 52% rests on individual member history; 48% uses tier-level fallback.

Base Case: Cumulative % Collected by Week



Priority actions for stronger receivables management

	So What	Now What	How / expected outcome	Timeline
1	34% of members are over their limit because limits weren't sized for $4K-$8K sponsorship invoices	Re-size credit limits or create sponsorship-specific limits	Finance Manager; over-limit rate drops from 34% to <10%; $1.23M shown as at risk reduces proportionally	**Immediate**
2	$607K of overdue AR is still fresh and recoverable	Chase 1-30 day overdue invoices immediately; routine follow-up prevents aging into harder buckets	AR Officer; recover 80-90% within 2 weeks; prevent $607K from aging into the harder 31-60 day bucket	**Immediate**
3	80% of open AR sits in sponsorship	Build a sponsorship-specific collection process; earlier invoicing, milestone payments for major sponsorships, named collector for top 20 accounts	Sponsorship + Finance; improve predictability of major cash receipts	**This quarter**
4	March's 26.5% collection rate is affected by invoice maturity	Re-measure March cohort at end-April	Financial Analyst; avoid misreading timing as poor performance	**This quarter**
5	On-time collection improved from 40% to 64%	Identify and formalise what improved	Finance Manager; overdue AR could shrink by $150K-$300K per quarter if the improvement continues	**Next quarter**
6	Standard-tier terms may be too tight for larger invoices	Review 14-day terms for Standard sponsorship invoices; consider 21-day terms or 2% early-payment discount for sponsorship invoices	Membership + Finance; fewer invoices classified as "overdue" without changing actual collection timing	**Next quarter**

Data notes & limitations

- **Single-quarter window** caps overdue at ~90 days max - overdue severity is a **lower bound**. A full-year book could show deeper aging
- **181 Unknown-industry customers, 75 Unknown-category invoices** (imputed during cleaning) - real category/industry shares are **understated**
- **GST is sourced from the invoice data**, not derived. Invoices where GST = 0 are **GST-free** (exempt items). Outstanding GST is the sum of the actual GST column on unpaid invoices.
- **Payment timing is partly modelled** - lags were reconstructed during cleaning for corrupted rows. Collection-speed and forecast metrics are indicative, not fully observed.
- **Credit limits are tier-based proxies** ($2K–$20K by membership level), not credit-assessed - 'over limit' signals relative exposure, not a formal breach.
- **Dataset is synthetic**, modelled on a real Xero BAS export for a Canberra membership body. The method and pipeline are identical to what would run on production data.